CSIS JAPAN CHAIR

Japan Daily Brief

Saturday, November 7, 2026

1,895 words · 8 min read

RE: BOJ Ueda flags inflation upside risks at IMF · Russia seizes JT assets · China-Japan row enters year two · Japan cybersecurity package · G7 FM meeting ahead

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
57,434.77	158.43	$98.32	1.25%
▼ -9.25%	▲ +0.47%	▼ -6.16%	

TOP STORIES

CHINA-JAPAN

Putin seizes control of Japan Tobacco units as Moscow-Tokyo ties fray

Russian President Vladimir Putin placed Japan Tobacco International's four Russian manufacturing plants under interim state management via presidential order, the most direct economic action against a major Japanese corporate asset since the onset of sanctions pressure. Finance Minister **Satsuki Katayama** confirmed Japan is protesting through diplomatic channels while METI officials traveled to Russia; Russian Deputy Prime Minister Dmitry Medvedev commented sardonically that 'smoking kills,' per TASS.

NIKKEI ASIA

ECONOMY-BOJ

Speech by Governor UEDA at the 2026 Michel Camdessus Central Banking Lecture, International Monetary Fund

Kazuo Ueda told the IMF's Michel Camdessus lecture that Japanese consumer prices are running near *3%* and are expected to rise further into early 2027, while stressing that the 2% inflation goal has not yet become embedded in public expectations. A former BOJ chief economist, cited by Reuters, separately forecast a December rate hike and a terminal rate of 2%; Ueda did not confirm that timeline.

BANK OF JAPAN

CHINA-JAPAN

China-Japan row over Takaichi's Taiwan comment enters 2nd year

On the one-year anniversary of PM **Sanae Takaichi**'s Taiwan comment — which Beijing has demanded she retract — China's Foreign Ministry stated Japan 'bears full responsibility' for strained ties and called Japan's defense buildup a 'reckless' threat to regional peace, per Xinhua and CGTN. Takaichi, via the Chief Cabinet Secretary's press conference, said she seeks 'constructive ties' with China and continues to pursue dialogue.

NIKKEI ASIA

ALLIANCE

Japan eyes early contribution payment to ICC as court faces U.S. sanctions

Japan is considering making an early contribution payment to the International Criminal Court before US sanctions cut the ICC off from dollar-based settlements, potentially as early as April 2027. ICC President **Tomoko Akane** met Friday with a cross-party delegation of Japanese lawmakers in The Hague and sought member-state support, per Mainichi.

THE JAPAN TIMES

TECHNOLOGY

Data centers, rare earths among top priorities in Japan's growth strategy

Japan selected *28 priority items* from a field of 62 products and technologies under a ¥370 trillion investment framework, with semiconductors, artificial intelligence, data centers, and rare earths among the named priorities, per Japan Times and Nikkei Asia. The selections operationalize the government's economic security investment agenda.

NIKKEI ASIA

ALLIANCE

US 'blue tsunami' midterm result leaves Japan jittery over Trump's next foreign policy moves

Democratic gains in the US midterm elections are prompting concern in Tokyo about whether President **Donald Trump** will pivot on trade, tariff, and alliance policy toward Japan, per The Straits Times; Nikkei Asia reporting separately flags that the Democratic wave may affect Japanese investment in US data centers and the AI trade.

STRAITS TIMES / NIKKEI ASIA · NOV 7, 2026

STAT OF THE DAY

$890bn

Japan's unprotected bank deposits as inheritances inflate accounts

Deposits above the government guarantee ceiling have swelled as inheritance transfers push balances beyond protected thresholds, raising systemic risk concerns.

Japan's unprotected deposits hit $890bn as inheritances inflate accounts — Nikkei Asia

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SATURDAY, NOVEMBER 7, 2026

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

BOJ ETF sale proceeds to fund economic security via new special account — PM Takaichi plan

PM **Sanae Takaichi** plans to channel proceeds from BOJ ETF sales into a new special account dedicated to economic security funding, with reinvestment planned; the arrangement links BOJ balance-sheet normalization

directly to the government's economic security agenda.

→ finance.biggo.com ↗

財務省 · MINISTRY OF FINANCE · *Finance Minister Satsuki Katayama*

Japan protesting Russia's JT asset seizure via diplomatic channels; METI officials visit Russia

Finance Minister **Satsuki Katayama** stated Japan is protesting Russia's placement of Japan Tobacco's manufacturing units under interim management via diplomatic channels; METI officials traveled to Russia in connection with the seizure.

→ finance.biggo.com ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY

Japan plans new defense industrial strategy to prepare for prolonged conflicts

METI is developing a new defense industrial strategy oriented toward sustaining production capacity through prolonged conflicts, per The Diplomat; the strategy reflects the broader 2026 review of Japan's Three Strategic Documents and the defense buildup program.

→ The Diplomat ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY

Japan and Kuwait discuss bilateral energy cooperation and energy security

METI held bilateral discussions with Kuwait on energy cooperation and security, covering supply diversification relevant to Japan's LNG and oil import dependencies.

→ METI ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Foreign Minister Toshimitsu Motegi*

Foreign Minister Motegi to attend G7 Foreign Ministers' Meeting in Rome, November 8-11

Foreign Minister **Toshimitsu Motegi** is scheduled to attend the G7 Foreign Ministers' Meeting from November 8 to 11, 2026, per MOFA's official announcement.

→ MOFA ↗

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Japan's emergency cybersecurity package to feature a 'cyber rescue squad'

Chief Cabinet Secretary **Minoru Kihara**'s November 6 afternoon press conference confirmed Japan's emergency cybersecurity package will include a dedicated 'cyber rescue squad' as a core element, following PM Takaichi's October directive amid surging attacks on Japanese companies.

→ Google News ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

Ruling bloc sought Lower House passage of tax cut bill Friday

The ruling coalition sought passage of the tax cut bill in the House of Representatives on Friday, per Jiji Press; outcome not yet confirmed in available reporting.

LDP

LDP requests written explanations from former PM Ishiba and others over committee walkouts

> The LDP formally asked former Prime Minister Shigeru Ishiba and others to provide written explanations detailing — 'concretely and in detail' — their reasons for leaving committee sessions, per Asahi Shimbun; the move reflects ongoing intra-party friction.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026 · **24d ago**	**50.8%**	**32%**

Discourse: Mainichi editorial marks PM Takaichi's first year in office by arguing her 'go-it-alone style is widening Japan's divisions'; a separate Kyodo analysis finds she gave fewer Diet budget committee responses than her four immediate predecessors.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MACRO · THE JAPAN TIMES

Japan and China shifting toward selective economic dependence one year into political row

One year into the bilateral rift triggered by PM Takaichi's Taiwan remark, Japanese and Chinese firms are cutting strategic risks in sensitive sectors while continuing to seek commercial opportunities in others, a posture Japan Times characterizes as 'selective economic dependence.'

FINANCE · NIKKEI ASIA

Japan's unprotected bank deposits reach $890bn as inheritance transfers swell balances

Deposits exceeding Japan's government-guarantee ceiling have reached *$890 billion* as inheritance transfers push balances above protected thresholds, creating systemic exposure in the banking sector.

TECH · MAINICHI · RYOHIN KEIKAKU CO.

Muji operator Ryohin Keikaku halts online store and app after cybersecurity leaks

Ryohin Keikaku Co., the operator of Muji, temporarily shut its domestic online store and official app to bolster cybersecurity following data leaks, the company announced Friday — a corporate-level incident occurring as Japan rolls out its national emergency cybersecurity package.

MACRO · NIKKEI ASIA

Japanese companies caught in crossfire of Beijing-Tokyo diplomatic rift

Japanese firms operating in China face mounting operational uncertainty as the Beijing-Tokyo diplomatic standoff persists through its second year, with leading business officials calling for multi-track engagement — not just

political and diplomatic channels — to manage exposure.

REGIONAL PRESSURE WATCH

Heavy — 42 items (BOJ: 22, China MOFA re Japan: 8, Chief Cabinet Sec: 5, METI: 4, DPRK: 2, MOFA presser: 1)

CHINA

On the one-year anniversary of PM Takaichi's Taiwan remark, China's Foreign Ministry issued its most comprehensive condemnation yet: spokesman statements via Xinhua, CGTN, and Global Times declared Japan 'bears full responsibility' for strained ties, labeled Japan's Three Strategic Documents review a 'reckless' remilitarization threat to regional peace, and demanded Takaichi correct her 'erroneous' Taiwan remark. Beijing's framing explicitly tied Japan's defense buildup to Chinese security concerns, calling on the international community to 'stay on high alert.'

NORTH KOREA

North Korea confirmed new missile technology development, per Stars and Stripes; Kim Jong Un was separately reported by USNI News to have inspected a new warship under construction at the Nampho Shipyard. No new launch activity toward Japan's EEZ is reported in today's data.

RUSSIA

Russia's seizure of Japan Tobacco's manufacturing units under a Putin presidential order remains the dominant bilateral signal; Russia separately stated that detained Hokkaido Shimbun journalist Yuki Imai's fate 'hinges on the probe,' per Mainichi — continuing to deny a consular resolution timeline. METI officials visited Russia in connection with the JT seizure.

> *"Japan's reckless remilitarization seriously threatens regional peace, stability"*
>
> Chinese Foreign Ministry spokesperson · Japan's reckless remilitarization seriously threatens regional peace, stability: Chinese foreign ministry — Xinhua

> *"Japan bears full responsibility for strained ties"*
>
> Chinese Foreign Ministry · Japan bears full responsibility for strained ties, FM says a year after Takaichi's erroneous remarks on Taiwan question — Global Times

Bottom line: China's Foreign Ministry used the one-year anniversary of Takaichi's Taiwan remark to issue its broadest-yet condemnation of Japan's defense posture, while Russia's JT asset seizure signals Moscow is willing to escalate economic retaliation against Japanese corporates; the G7 Foreign Ministers' Meeting opening November 8 is the next forum where Japan can seek allied backing on both fronts.

U.S.-JAPAN RELATIONS

BASING · THE JAPAN TIMES

Japan eyes education programs for US troops in Okinawa following recent robbery-murder

Japan and the United States have agreed on recurrence prevention measures following a recent robbery-murder involving US military personnel in Okinawa, including lectures on Okinawan culture and history for US service members; the measures were agreed upon bilaterally per Japan Times.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · EN.BAOCHINHPHU.VN

Japan attaches importance to Vietnamese General Secretary To Lam's upcoming official visit

Japan has signaled it attaches importance to the forthcoming official visit by Vietnamese General Secretary To Lam, framing it as an opportunity to strengthen bilateral ties across defense, trade, and economic cooperation.

SOUTHEAST ASIA · NIKKEI ASIA

Japan to back Vietnam's small modular reactor development in revived nuclear cooperation pact

Japan plans to support Vietnam's small modular reactor push under revived nuclear cooperation, extending Tokyo's civil-nuclear diplomacy into a Southeast Asian partner ahead of General Secretary To Lam's visit.

QUAD · GLOBAL TIMES

Quad launches Malabar drills off Japan — Beijing characterizes exercises as destabilizing

The Quad launched Malabar naval drills off Japan; Global Times cited an unnamed expert claiming the exercises 'fuel regional tensions' and that Japan risks 'overestimating its own strength' — Beijing's standard framing against Quad maritime cooperation.

UPCOMING

Nov 7

FIFA U-17 Women's World Cup 2026 final — Japan vs. Nigeria

Japan's women's under-17 squad faces Nigeria in the FIFA U-17 Women's World Cup final today, per Sportstar reporting.

Nov 7

COP climate summit (Turkey) — Takaichi not attending

PM Takaichi has confirmed she will skip the UN climate summit in Turkey; Japan's representation level and any designated replacement have not been detailed in available reporting.

Nov 8

G7 Foreign Ministers' Meeting opens (November 8-11)

Foreign Minister Toshimitsu Motegi is confirmed to attend the G7 Foreign Ministers' Meeting, November 8-11, 2026, per MOFA's official announcement. Alliance coordination, Ukraine, and Indo-Pacific security are expected agenda items.

Nov 10

Vietnamese General Secretary To Lam official visit to Japan (next week)

Vietnamese General Secretary To Lam is scheduled to pay an official visit to Japan next week, per Vietnamese government sources; Japan has stated it attaches importance to the visit and is seeking stronger bilateral ties.

Dec 1

BOJ December rate decision — market anticipates hike (estimated)

A former BOJ chief economist cited by Reuters expects the BOJ to hike at the December meeting and target a terminal rate of 2%; BOJ Governor Ueda's IMF remarks flagging upside inflation risks and consumer prices near 3% are being read alongside this forecast. Date estimated.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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